

Amendment No. 10

Assembly Amendment to Assembly Bill No. 5

(BDR S-13)

Proposed by: Assembly Select Committee on Jobs and Economy

Amends: Summary: No Title: No Preamble: No Joint Sponsorship: No Digest: Yes

ASSEMBLY ACTION			Initial and Date	SENATE ACTION			Initial and Date		
Adopted	☐	Lost	☐	_____	Adopted	☐	Lost	☐	_____
Concurred In	☐	Not	☐	_____	Concurred In	☐	Not	☐	_____
Receded	☐	Not	☐	_____	Receded	☐	Not	☐	_____

EXPLANATION: Matter in (1) *blue bold italics* is new language in the original bill; (2) variations of green bold underlining is newly added language; (3) ~~red strikethrough~~ is deleted language in the original bill; (4) ~~purple double strikethrough~~ is language proposed to be deleted in this amendment; (5) ~~fuchsia double strikethrough~~ is new language in the bill proposed to be deleted in this amendment; (6) orange double underlining is deleted language in the original bill that is proposed to be retained in this amendment.

SHORT FORM AMENDMENT

Sections 10, 11, 14, 18, 19, 20, 26, 28, 29 and 30 of this act are the only sections affected by this amendment.

BJF



Date: 11/15/2025

A.B. No. 5—Enacts the Nevada Studio Infrastructure Jobs and Workforce Training Act. (BDR S-13)



If this amendment is adopted, the Legislative Counsel's Digest will be changed as follows:

Legislative Counsel's Digest:

Existing law establishes a program for the issuance of transferable tax credits by the Office of Economic Development to the production company of a motion picture or other qualified production, based upon qualified direct production expenditures made for the purchase of personal property or services from a Nevada business. (NRS 360.758-360.7598) This bill revises provisions governing these transferable tax credits and enacts the Nevada Studio Infrastructure Jobs and Workforce Training Act to authorize film infrastructure transferable tax credits for qualified productions produced at the site of the Summerlin Production Studios Project.

Sections 1-20 of this bill enact the Nevada Studio Infrastructure Jobs and Workforce Training Act, which provides film infrastructure transferable tax credits for production companies located within the Summerlin Production Studios Project, as defined in **section 9**. **Section 10** requires the Office of Economic Development to enter into a development agreement with the lead participant of the Project to establish: (1) certain criteria that the Project is required to satisfy for film infrastructure transferable tax credits to be authorized for qualified productions at the Project; and (2) certain requirements for new capital investment in this State and the generation of direct production expenditures in this State, which the Project must meet, with certain exceptions, to avoid penalties specified in **section 10**. **Section 11:** (1) authorizes production companies located at the Project to apply, on or after December 1, 2026, to the Office for film infrastructure transferable tax credits for qualified productions produced, in whole or in part, at the Project; and (2) authorizes such credits to be used against the modified business tax, insurance premium tax or gaming license fee, or any combination of these taxes and fees. **Section 12** establishes the qualified direct production expenditures which are the basis for calculating the amount of film infrastructure transferable tax credits, including, without limitation: (1) purchases, rentals or leases of property or services from a Nevada business; (2) wages and fringe benefits paid to employees who are Nevada residents or other personnel for labor or services provided in this State on the qualified production; and (3) amounts paid to service providers for the services of certain persons on the qualified production. **Section 13** establishes requirements for the employment of Nevada residents as below-the-line employees of qualified productions. **Section 14** provides that the base amount of film infrastructure transferable tax credits is 30 percent of the amount of qualified direct production expenditures calculated under **section 12**, with ~~with certain reductions~~ **no credits issued** if the production company does not satisfy certain criteria for work opportunities ~~for~~ **for** members of traditionally underrepresented groups. **Section 15:** (1) limits the total amount of film infrastructure transferable tax credits issued pursuant to **sections 1-20** to \$95,000,000 for each fiscal year beginning on or after July 1, 2029; and (2) prohibits the approval of an application for film infrastructure transferable tax credits if the application is submitted in a fiscal year that begins on or after July 1, 2044. **Section 16** requires a production company to: (1) commence principal photography within a certain period of time after the Office approves an application for a certificate of eligibility for film infrastructure transferable tax credits; (2) complete the qualified production within 18 months after the date of commencement of principal photography, except that the Office may extend this period for not more than 6 months; and (3) submit certain required information within the required period. **Section 17** requires a production company to repay film infrastructure transferable tax credits under certain circumstances. **Section 19** requires the lead participant in the Project to submit certain reports to the Governor, the Legislature and the Office. **Section 20** requires certain reports to be made to the Legislature concerning film infrastructure transferable tax credits.

Sections 23-32 of this bill make various changes to the existing law governing the noninfrastructure transferable tax credits for motion picture and other qualified productions.

(NRS 360.758-360.7598) **Section 24** changes references to “extras” in a qualification production to “background actors.” **Section 25:** (1) provides that digital media productions are qualified productions for the purposes of eligibility for film infrastructure transferable tax credits and noninfrastructure transferable tax credits; and (2) clarifies that media productions solely produced for social media are not eligible for such transferable tax credits. **Section 26** revises the criteria to be eligible for noninfrastructure transferable tax credits to be the same as the criteria for film infrastructure transferable tax credits by: (1) removing the requirement that a certain percentage of direct production expenditures be incurred in this State and, instead, requiring that at least 50 percent of the total principal photography days of the qualified production take place in this State or a certain amount of qualified direct production expenditures be incurred in this State; and (2) requiring a production company to have a workforce plan that establishes certain goals and provide to the Office a final assessment of whether the production company met or made a good faith effort to meet those goals. **Section 22** of this bill applies to applicants for noninfrastructure transferable tax credits the same requirements for the employment of Nevada residents as below-the-line personnel that apply to applicants for film infrastructure transferable tax credits. **Section 27** revises the expenditures and costs that may serve as a basis for noninfrastructure transferable tax credits. **Section 28:** (1) increases the base amount of transferable tax credits from 15 percent of the qualified direct production expenditures to 30 percent of the qualified direct production expenditures, for an application submitted in each fiscal year beginning on or after July 1, 2029, and ending before July 1, 2044; and (2) provides ~~for certain reductions to that base amount during that period.~~ that no credits may be issued if the production company does not satisfy certain criteria for work opportunities for members of traditionally underrepresented groups. **Section 29** makes certain provisions of existing law relating to the calculation of noninfrastructure transferable tax credits inapplicable for the period beginning on July 1, 2029, and ending on June 30, 2044. **Section 30** temporarily increases from \$10,000,000 to \$25,000,000 the total amount of noninfrastructure transferable tax credits for motion picture and other qualified productions that may be issued under the existing program for each fiscal year beginning on or after July 1, 2029, until June 30, 2044. **Sections 31 and 32** make conforming changes so that noninfrastructure transferable tax credits are administered and reported in the same manner as film infrastructure transferable tax credits.

Section 18 requires the Clark County Board of County Commissioners to create a production studio entertainment district for the purpose of enhancing early childhood education opportunities, including prekindergarten, for children in Clark County. Under **section 18**, the boundaries of the district are required to be entirely within the unincorporated areas of Clark County and include only parcels of land that are located within the boundaries of the Summerlin Production Studios Project. **Section 18** requires certain taxes on transient lodging, certain property taxes and certain sales and use taxes imposed in the district to be pledged and distributed to the Clark County School District and used by the Clark County School District solely for the purposes of prekindergarten programs in the Clark County School District. Finally, **section 18** requires the Clark County School District to submit annual reports to the Office concerning the use of money distributed to Clark County School District under **section 18**.

Sections 33-40 of this bill establish a program to provide grants to certain organizations that provide education and vocational training for workforce development for the production of motion pictures and other qualified productions. **Section 38** establishes the Account for Nevada Film, Media and Related Technology Education and Vocational Training for the purpose of allocating money to certain entities and organizations that provide education and vocational training for such workforce development. **Sections 11 and 26** require ~~a production company that is issued transferable tax credits for a qualified production to pay to,~~ the Office to cause the transfer to the Account an amount of money equal to 1 percentage point of the percent of qualified direct production expenditures used to calculate the amount of transferable tax credits issued to the qualified production, and ~~requires the Office to deposit~~

~~that money with the State Treasurer for credit to the Account,} to reduce the amount of transferable tax credits issued to the production company by that amount of money.~~

Section 39 creates and provides for the composition of the Board for Nevada Film, Media and Related Technology Education and Vocational Training within the Office of Economic Development. **Section 40:** (1) requires the Board to establish the procedure for a person or entity to apply for a grant of money from the Account, the criteria to be used to determine whether to approve an application for a grant from the Account to an applicant and the requirements for reports by recipients of such grants concerning the use of the grants; and (2) prohibits the making of a grant from the Account unless the Board approves the application for the grant.

Section 10 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 10. 1. Not later than 120 days after the effective date of this act, the Office shall enter into a development agreement with the lead participant of the Summerlin Production Studios Project, unless the Office agrees to extend this period by not more than 60 days. The development agreement entered into pursuant to this section:

(a) Must require the Project to:

(1) Except as otherwise provided in subsections 2 and 3, not later than:

(I) December 31, 2028, make a new capital investment in this State, excluding any hotel and any business required to hold a license issued pursuant to chapter 463 of NRS, of at least \$400,000,000.

(II) June 30, 2030, make an aggregate new capital investment in this State, of at least \$900,000,000. For the purposes of determining the amount of new capital investment pursuant to this sub-subparagraph, any new capital investment by a third party who purchases property or enters into a ground lease for property within the site of the Project must be credited toward meeting the requirement of this sub-subparagraph. The Office shall credit toward meeting the requirement of this sub-subparagraph 50 percent of the new capital investment made at the Downtown Summerlin site during the period beginning on the date of the execution of the development agreement and ending on June 30, 2030, if the Board of Economic Development determines that the new capital investment is consistent with the State Plan for Economic Development developed by the Executive Director of the Office of Economic Development pursuant to subsection 2 of NRS 231.053 and the intent of the Legislature as expressed in sections 2 and 3 of this act.

(III) June 30, 2033, make an aggregate new capital investment in this State of at least \$1,400,000,000. For the purposes of determining the amount of new capital investment pursuant to this sub-subparagraph, any new capital investment by a third party who purchases property or enters into a ground lease for property within the site of the Project must be credited toward meeting the requirement of this sub-subparagraph. The Office shall credit toward meeting the requirement of this sub-subparagraph 50 percent of the new capital investment made at the Downtown Summerlin site during the period beginning on the date of the execution of the development agreement and ending on June 30, 2033, if the Board of Economic Development determines that the new capital investment is consistent with the State Plan for Economic Development developed by the Executive Director of the Office of Economic Development pursuant to subsection 2 of NRS 231.053 and the intent of the Legislature as expressed in sections 2 and 3 of this act.

(IV) June 30, 2039, make an aggregate new capital investment in this State of at least \$1,800,000,000. For the purposes of determining the amount of new capital investment pursuant to this sub-subparagraph, any new capital investment by a third party who purchases property or enters into a ground lease for property within the site of the Project must be credited toward meeting the requirement of this sub-subparagraph. The Office shall credit toward meeting the requirement of this sub-subparagraph 50 percent of the new capital investment made at the Downtown Summerlin site during the period beginning on the date of the execution of the development agreement and ending on June 30, 2039, if the Board of Economic Development determines that the new capital investment is consistent with the State Plan for Economic Development developed by the Executive Director of the Office of Economic Development pursuant to subsection 2 of NRS 231.053 and the finding and intent of the Legislature as expressed in sections 2 and 3 of this act.

(2) Not later than December 31, 2028, contribute at least \$8,000,000 to Nevada Partners, Inc. to support the construction and operation of the Nevada Partners Vocational Training Studio and to the maximum extent practicable, collaborate with Nevada Partners, Inc. to ensure that not later than December 31, 2030, construction of the Nevada Partners Vocational Training Studio has been completed and the Nevada Partners Vocational Training Studio is operational.

(3) If the Nevada Partners Vocational Training Studio is not completed and operational before January 1, 2031, ensure that an equivalent facility is constructed and operational before that date.

(4) Except as otherwise provided in subparagraph (5) and subsection 6, guarantee that for the period beginning on:

(I) July 1, 2029, and ending on June 30, 2035, the Project will generate, for each period consisting of 2 fiscal years during that time, not less than \$600,000,000 of direct production expenditures.

(II) July 1, 2035, and ending on June 30, 2044, the Project will generate, for each period consisting of 3 fiscal years during that time, not less than \$900,000,000 of direct production expenditures.

(5) Except as otherwise provided in this subparagraph, require that if, during any period described in subparagraph (4), the amount of direct production expenditures exceeds the amount required by subparagraph (4) for that period, the excess amount must be carried forward and used to offset any shortage in satisfying any requirement set forth in subparagraph (4) in any subsequent period. The total amount of excess direct production expenditures for a period described in subparagraph (4) that may be used to offset a shortfall in the amount of direct production expenditures required for any subsequent period described in subparagraph (4) cannot exceed \$200,000,000.

(6) Not later than 5 years after the Office and the lead participant execute the development agreement, make a contribution of at least \$6,000,000 ~~to the College of Southern Nevada for its Eastside Education and Training Center~~ for the construction, in conjunction with Chicanos Por La Causa, of a center to be located on the east side of the City of Las Vegas, as determined by agreement of the Office and the lead participant, to support education and workforce training related to the production of qualified productions that are film or television productions and for child care for participants in such education and workforce training programs.

(7) If the ~~Eastside Education and Training Center~~ center described in subparagraph (6) is not completed and operational before January 1, 2031, ensure that an equivalent facility is constructed and operational before that date.

(8) Prohibit the location within the site of the Project of a business required to hold a license pursuant to chapter 463 of NRS.

(9) Provide written notice to the Office within 30 days after the applicable deadline for completing a requirement set forth in subparagraphs (1) to (7), inclusive, which must state whether the requirement has been met. Upon receipt of the written notice, the Office shall make a final determination, in writing, of whether the requirement has been met and provide that determination to the lead participant of the Project. If the Office determines that the requirement has been met, the Office shall establish the date on which the requirement was met.

(b) Must establish the minimum amount of square feet of building space at the Project to be used for the various components of the production of qualified productions.

(c) Must establish the minimum number of acres of real property that will be a part of the Project.

(d) May include such other provisions, not inconsistent with law, concerning the development of the Project and the issuance of film infrastructure transferable tax credits pursuant to sections 4 to 20, inclusive, of this act, as agreed to by the Office and the lead participant.

2. As the Executive Director of the Office deems necessary or advisable, the Executive Director may modify any requirement for new capital investment set forth in subparagraph (1) of paragraph (a) of subsection 1 by extending the date by which any new capital investment set forth in those provisions must be made.

3. If the Office determines that the Project has not met a requirement for capital investment included in the development agreement pursuant to subparagraph (1) of paragraph (a) of subsection 1, the Office must document its determination in writing, notify the lead participant, in writing, of its determination and impose a penalty on the Project in an amount not to exceed the amount of the deficiency. The Project may cure the deficiency by making the required capital investment in the element of the Project for which the requirement for capital investment was not met not later than 2 years after the end of the period for which the requirement for capital investment was not met, in an amount necessary to satisfy the requirement for capital investment in an element of the Project that was not met. If the deficiency is:

(a) Cured within the cure period, 100 percent of the amount of the penalty must be discharged.

(b) Not cured within that cure period, the Office must record a lien on any land within the Project that is undeveloped or has not been developed in accordance with the findings and intent of the Legislature as expressed in sections 2 and 3 of this act, to secure payment of such penalty, subject to the limitations set forth in subsection 4. Any penalty, and the lien securing the payment of such penalty, must be discharged as follows:

(1) If the requirement for capital investment which was not met is satisfied not later than 1 year after the expiration of the cure period, 90 percent of the amount of the penalty, and the lien securing the payment of the penalty, must be discharged.

(2) If the requirement for capital investment which was not met is satisfied more than 1 year, but not later than 2 years, after the expiration of the cure period, 70 percent of the amount of the penalty, and the lien securing the payment of the penalty, must be discharged.

(3) If the requirement for capital investment which was not met is satisfied more than 2 years, but not later than 3 years, after the expiration of the cure period, 50 percent of the amount of the penalty, and the lien securing the payment of the penalty, must be discharged.

(4) If the requirement for capital investment which was not met is satisfied more than 3 years, but not later than 4 years, after the expiration of the cure period, 30 percent of the amount of the penalty, and the lien securing the payment of the penalty, must be discharged.

(5) If the requirement for capital investment which was not met is satisfied more than 4 years, but not later than 5 years, after the expiration of the cure period, 10 percent of the amount of the penalty, and the lien securing the payment of the penalty, must be discharged.

4. Only one lien may be recorded pursuant to subsection 3 and such a lien:

(a) Must not, at any time, exceed the lesser of the amount of the deficiency or 100 percent of the appraised value of the remaining land within the Project that is undeveloped or has not been developed in accordance with the findings and intent of the Legislature as expressed in sections 2 and 3 of this act.

(b) May not be recorded on any completed portion of the Project.

(c) May be modified, replaced or reissued to secure payment of the most current amount of any penalty imposed pursuant to subsection 3 but any such lien is subject to the limitations of this subsection.

5. If the Office determines that the amount of direct production expenditures is less than \$150,000,000 in any fiscal year commencing on or after July 1, 2029, and before July 1, 2044, the Office must notify the Project, in writing, of its determination and impose a penalty on the Project in an amount equal to the lesser of \$10,000,000 or the amount determined by:

(a) Calculating 50 percent of the sum of the film infrastructure transferable tax credits authorized for approval pursuant to section 15 of this act for that fiscal year and the immediately preceding fiscal year;

(b) Calculating a percentage by dividing the difference between the \$150,000,000 and the actual amount, as determined by the Office, of direct production expenditures, by \$150,000,000; and

(c) Multiplying the percentage calculated pursuant to paragraph (b) by the amount calculated pursuant to paragraph (a).

➤ Any penalty paid pursuant to this subsection must be applied to reduce the amount of any penalty imposed pursuant to subsection 6.

6. If the Office determines that the Project has not met a requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, the Project must pay to the Office a penalty in an amount determined as follows:

(a) If the actual amount of direct production expenditures is more than 2 percent and not more than 5 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$2,000,000.

(b) If the actual amount of direct production expenditures is more than 5 percent and not more than 10 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$5,000,000.

(c) If the actual amount of direct production expenditures is more than 10 percent and not more than 20 percent less than the applicable requirement for direct production expenditures included in the development agreement pursuant to subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of \$10,000,000.

(d) If the actual amount of direct production expenditures is more than 20 percent and not more than 30 percent less than the applicable requirement for direct

1 production expenditures included in the development agreement pursuant to
2 subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of
3 \$20,000,000.

4 (e) If the actual amount of direct production expenditures is more than 30
5 percent and not more than 40 percent less than the applicable requirement for direct
6 production expenditures included in the development agreement pursuant to
7 subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of
8 \$30,000,000.

9 (f) If the actual amount of direct production expenditures is more than 40
10 percent and not more than 50 percent less than the applicable requirement for direct
11 production expenditures included in the development agreement pursuant to
12 subparagraph (4) of paragraph (a) of subsection 1, a penalty in the amount of
13 \$40,000,000.

14 (g) If the actual amount of direct production expenditures is more than 50
15 percent less than the applicable requirement for direct production expenditures
16 included in the development agreement pursuant to subparagraph (4) of paragraph
17 (a) of subsection 1, a penalty in the amount of \$50,000,000.

18 7. The Office may reduce, or waive, any penalty imposed pursuant to
19 subsections 3 to 6, inclusive, if, upon written request of the lead participant, the
20 Office determines that the failure to meet a requirement for which a penalty may be
21 imposed was caused by extraordinary circumstances beyond the control of the
22 Project and reasonable, documented and good-faith efforts were made to satisfy the
23 requirement. For the purposes of this subsection, "extraordinary circumstances":

24 (a) Means natural disasters, labor strikes, significant disruptions in material
25 supply chains, substantial economic or geopolitical shocks, government-mandated
26 closures, delays in obtaining any approval of a governmental entity needed for the
27 Project that are not caused by the Project or other events in the nature of force
28 majeure that materially impair the ability to carry out development and construction
29 activities.

30 (b) Does not include ordinary market fluctuations, internal project scheduling
31 decisions or changes in business strategy.

32 8. Before taking any action or declining any request for an action authorized
33 by subsection 7, the Executive Director of the Office shall:

34 (a) Consider any documentation submitted by the production company related
35 to the action under consideration; and

36 (b) Make the following determinations in writing:

37 (1) That good cause exists to take such action; and

38 (2) That the action is reasonable based on the circumstances of the
39 underlying incident on which the reduction or withholding of film infrastructure
40 transferable tax credits authorized pursuant to subsection 4 is based.

41 9. Any penalty paid to the Office pursuant to subsections 3 to 6, inclusive,
42 must be deposited with the State Treasurer for credit to the State General Fund.

43 10. The Office shall not approve any abatement, partial abatement or
44 exemption from taxes, or any other incentive for economic development, other than
45 film infrastructure transferable tax credits pursuant to sections 4 to 20, inclusive, of
46 this act or noninfrastructure transferable tax credits pursuant to NRS 360.758 to
47 360.7598, inclusive, for the Summerlin Production Studios Project if the Project has
48 entered into a development agreement with the Office pursuant to this section.

49 11. As used in this section:

50 (a) "Direct production expenditures" means expenditures in this State:

51 (1) By a production company that is affiliated with the lead participant and
52 is producing, in whole or in part, a qualified production at the Project;

(2) That are direct expenditures on a qualified production that is produced, in whole or in part, at the Project; and

(3) That meet the criteria to be a qualified direct production expenditure pursuant to subsection 1 of section 12 of this act, regardless of whether the production company applies for or receives film transferable tax credits for the qualified production.

(b) "Hotel" means a building occupied or intended to be occupied for compensation, as the temporary residence for transient guests, primarily persons who have residence elsewhere. A hotel has an interior hall and lobby with access to each room from the interior hall or lobby.

Section 11 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 11. 1. A production company that is located at the Summerlin Production Studios Project and that produces, in whole or in part, a qualified production at the Project may, on or after December 1, 2026, apply to the Office for a certificate of eligibility for film infrastructure transferable tax credits for any qualified direct production expenditures. The film infrastructure transferable tax credits may be applied to:

(a) Any tax imposed by chapter 363A or 363B of NRS;

(b) The gaming license fee imposed by the provisions of NRS 463.370;

(c) Any tax imposed by chapter 680B of NRS; or

(d) Any combination of the fees and taxes described in paragraphs (a), (b) and (c).

2. Except as otherwise provided in section 15 of this act, the Office shall approve an application for a certificate of eligibility for film infrastructure transferable tax credits if the Office finds that the production company is producing the qualified production, in whole or in part, at the Summerlin Production Studios Project and the production company qualifies for the film infrastructure transferable tax credits pursuant to subsection 3. If the Office approves the application, the Office shall:

(a) Calculate the estimated amount of film infrastructure transferable tax credits that may be issued for the qualified production pursuant to sections 12 to 15, inclusive, of this act; and

(b) Immediately forward a copy of the certificate of eligibility which identifies the estimated amount of tax credits to:

(1) The applicant;

(2) The lead participant;

(3) The Department of Taxation; and

(4) The Nevada Gaming Control Board.

3. To be eligible for film infrastructure transferable tax credits pursuant to this section, the production company must:

(a) Before the beginning of principal photography, submit to the Office an application for a certificate of eligibility that meets the requirements of subsection 4;

(b) Submit to the Office with the application for a certificate of eligibility:

(1) Written documentation from the lead participant that affirms that the production company is located at the Summerlin Production Studios Project and is producing, in whole or in part, a qualified production at the Project;

(2) Proof that 70 percent or more of the funding for the qualified production has been obtained; and

(3) Proof that:

(I) At least 50 percent of the total principal photography days of the qualified production will take place in this State; or

(II) The qualified production will incur qualified direct production expenditures in this State of at least \$5,000,000;

(c) Satisfy the applicable requirement for the employment of Nevada residents as below-the-line personnel of the qualified production, as set forth in section 13 of this act;

(d) Provide to the Office:

(1) With the application for a certificate of eligibility, proof that the applicant has in place a workforce plan for the qualified production that outlines specific goals for:

~~(I) Hiring a workforce that reflects the diversity of this State, including, without limitation, the age, gender, gender identity or expression, as defined in NRS 0.024, sexual orientation, ethnic and geographic diversity of this State;~~

(II) Hiring a workforce that reflects the diversity of this State, with not less than 30 percent of the persons hired for qualified productions being members of a traditionally underrepresented group;

(II) Adopting nondiscriminatory policies and practices to ensure that the qualified production does not discriminate in employment, contracting or any other term or condition of participation in the qualified production, against any protected class of individuals pursuant to state or federal law;

(III) Using vendors that are minority-owned business enterprises or woman-owned business enterprises; and

~~(III)~~ (IV) Achieving the requirements set forth in subsection 2 of section 13 of this act; and

(2) Not later than 365 days after the completion of principal photography of the qualified production, unless the Office agrees to extend this period by not more than 180 days, a final assessment of the workforce plan that includes documentation on whether the production met or made good faith efforts to achieve the goals set forth in the workforce plan;

(e) Not later than 365 days after the completion of principal photography of the qualified production or, if any direct production expenditures for postproduction will be incurred in this State, not later than 365 days after the completion of postproduction, unless the Office agrees to extend this period by not more than 180 days, provide the Office with an audit of the qualified production that includes:

(1) An itemized report of qualified direct production expenditures which:

(I) Shows that the qualified production incurred qualified direct production expenditures of \$500,000 or more;

(II) If the production company complied with the requirement of subparagraph (3) of paragraph (b) by providing to the Office with the application for a certificate of eligibility proof that the qualified production would incur qualified direct production expenditures in this State of at least \$5,000,000, shows that the qualified production incurred qualified direct production expenditures in this State of at least \$5,000,000; and

(III) Is certified by an independent certified public accountant in this State who is approved by the Office;

(2) A list of each contractor, vendor, personal service corporation or loan-out company or other business engaged by the production company to provide goods or perform services in an aggregate amount of at least \$10,000 or more in this State in connection with the qualified production and the amount paid to each

contractor, vendor, personal service corporation or loan-out company or other business for such goods or services; and

(3) Proof that the production company secured all licenses and registrations required to do business in each location in this State at which the qualified production was produced;

(f) Pay the cost of the audit required by paragraph (e);

(g) Enter into a written agreement with the Office that requires the production company to include:

(1) In the end screen credits of the qualified production, a logo of this State provided by the Office which indicates that the qualified production was filmed or otherwise produced in Nevada; or

(2) If the qualified production does not have end screen credits, another acknowledgment in the final version of the qualified production that indicates that the qualified production was filmed or otherwise produced in Nevada or any alternative marketing promotion acceptable to the Office; and

(h) Enter into a written agreement with the Office that requires the production company to transmit to each contractor, vendor, personal service corporation or loan-out company or other business engaged by the production company to provide goods or perform services in an aggregate amount of at least \$10,000 or more in this State in connection with a qualified production, not later than 30 calendar days after the production company pays the contractor, vendor, personal service corporation or loan-out company or other business, a notification that includes:

(1) A statement that Nevada imposes:

(I) A tax on wages paid by certain employers pursuant to chapters 363A and 363B of NRS; and

(II) A commerce tax on certain business entities pursuant to chapter 363C of NRS; and

(2) Instructions for obtaining additional information from the Department of Taxation regarding the collection and remittance of taxes pursuant to chapters 363A, 363B and 363C of NRS.

4. An application for a certificate of eligibility submitted pursuant to subsection 3 must contain:

(a) A script, storyboard or synopsis of the qualified production;

(b) The names of the production company, producer, director and proposed cast;

(c) An estimated timeline to complete the qualified production;

(d) An estimate of the percentage of principal photography days of the qualified production that will take place in this State and outside this State;

(e) An insurance certificate, binder or quote for general liability insurance of \$1,000,000 or more;

(f) The business address of the production company;

(g) The written documentation from the lead participant that is required by subparagraph (1) of paragraph (b) of subsection 3;

(h) The workforce plan of the production company required by subparagraph (1) of paragraph (c) of subsection 3; and

(i) Proof that the qualified production meets any applicable requirements relating to workers' compensation insurance.

5. Within 45 business days after receipt of a final assessment of the workforce plan provided by a production company pursuant to subparagraph (2) of paragraph (d) of subsection 3, an audit provided by a production company pursuant to paragraph (e) of subsection 3 and any other accountings or other information required by the Office, the Office shall determine whether to certify the audit and make a final determination of whether a certificate of film infrastructure

transferable tax credits will be issued. If the Office certifies the audit, determines that all other requirements for the film infrastructure transferable tax credits have been met and determines that a certificate of film infrastructure transferable tax credits will be issued, the Office shall notify the production company and the lead participant that the film infrastructure transferable tax credits will be issued.

6. Within 90 days after the receipt of the notice, the production company shall make an irrevocable declaration of the amount of film infrastructure transferable tax credits that will be applied to each fee or tax set forth in subsection 1, thereby accounting for all of the credits that will be issued in relation to the qualified production.

7. Upon receipt of the declaration required by subsection 6, the Office shall ~~issue~~:

(a) Determine an amount of money equal to 1 percentage point of the percentage of qualified direct production expenditures used to calculate the amount of film infrastructure transferable tax credits that will be issued to the production company and cause that amount of money to be transferred for credit to the Account for Nevada Film, Media and Related Technology Education and Vocational Training created by section 38 of this act; and

(b) Issue to the production company a certificate of film infrastructure transferable tax credits in the amount approved by the Office for the fees or taxes included in the declaration of the production company ~~and~~ , minus the amount of money transferred pursuant to paragraph (a). The film infrastructure transferable tax credits issued under the certificate may not be used before July 1, 2029. The production company shall notify the Office upon transferring any of the film infrastructure transferable tax credits. The Office shall notify the Department of Taxation and the Nevada Gaming Control Board of all film infrastructure transferable tax credits issued, segregated by each fee or tax set forth in subsection 1, and the amount of any film infrastructure transferable tax credits transferred.

~~8. Within 60 days after the production company uses any film infrastructure transferable tax credits issued pursuant to subsection 7 or notifies the Office of any transfer of film infrastructure transferable tax credits issued pursuant to subsection 7, the production company shall pay to the Office an amount of money equal to 1 percentage point of the percentage of qualified direct production expenditures used to calculate the amount of film infrastructure transferable tax credits issued to the production company pursuant to subsection 7. The Office shall deposit any money received pursuant to this subsection with the State Treasurer for credit to the Account for Nevada Film, Media and Related Technology Education and Vocational Training created by section 38 of this act. A payment made pursuant to this subsection shall be deemed to be a payment made from film infrastructure transferable tax credits which would have been authorized and approved for the production company if a payment pursuant to this section were not required.~~

~~9.~~ An applicant for film infrastructure transferable tax credits pursuant to this section shall, upon the request of the Executive Director of the Office, furnish the Executive Director with copies of all records necessary to verify that the applicant meets the requirements of subsection 3.

~~10.~~ 9. The Office:

(a) Shall adopt regulations prescribing:

(1) Any additional qualified expenditures or production costs that may serve as the basis for film infrastructure transferable tax credits pursuant to section 12 of this act;

(2) The application review process;

(3) That a production for which records are required by 18 U.S.C. § 2257 to be maintained with respect to any performer in such production is not eligible for film infrastructure transferable tax credits; and

(4) Any necessary provisions to ensure compliance with the requirements of paragraph (d) of subsection 3 relating to workforce plans; and

(b) May adopt any other regulations that are necessary to ensure that the provisions of sections 2 to 20, inclusive, of this act are carried out in a manner that is reasonable and customary in the industry for the production of qualified productions.

~~11.11.10.~~ 10. The Nevada Tax Commission and the Nevada Gaming Commission:

(a) Shall adopt regulations prescribing the manner in which film infrastructure transferable tax credits will be administered.

(b) May adopt any other regulations that are necessary for the Department of Taxation and the Nevada Gaming Control Board, as applicable, to carry out the functions performed by each entity pursuant to the provisions of sections 2 to 20, inclusive, of this act.

11. As used in this section,:

(a) "Traditionally underrepresented group" means:

(1) Women;

(2) A racial or ethnic minority group;

(3) A group of persons who identify as LGBTQ, which means lesbian, gay, bisexual, transgender, queer, intersex or any other nonheterosexual or noncisgender orientation or gender identity or expression;

(4) A group of persons with disabilities, as defined in 6 NRS 426.068;

(5) Veterans;

(6) Persons who are currently serving on active duty in the Armed Forces of the United States; or

(7) Persons who were previously incarcerated in a jail or prison.

(b) "Veteran" means a person who has served in the Armed Forces of the United States, a reserve component thereof or the National Guard and was separated from such service under conditions other than dishonorable.

Section 14 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 14. 1. Except as otherwise provided in subsections 2 and 4 and section 15 of this act, the base amount of film infrastructure transferable tax credits issued to an eligible production company pursuant to section 11 of this act must equal 30 percent of the qualified direct production expenditures.

2. Except as otherwise provided in subsection 3 and section 15 of this act, if the production company submitted the application for the certificate of eligibility for film infrastructure transferable tax credits pursuant to section 11 of this act on or after ~~[a date that is more than 36 months after]~~ the date on which the Office adopts the regulations required by section 11 of this act, the Office shall ~~[reduce the cumulative amount of]~~ not issue any film infrastructure transferable tax credits ~~[that are calculated pursuant to this section by 5 percent]~~ to the production company for the qualified production if the final assessment of the workforce plan submitted by the production company for the qualified production pursuant to paragraph (d) of subsection 3 of section 11 of this act does not include documentation that ~~[at least two of the following requirements were met:~~

~~(a) The production company, distribution company or financing company for the qualified production offered training or work opportunities to traditionally underrepresented groups for the development of skills required for employment as below the line personnel or above the line personnel.~~

~~(b) Two or more persons who are members of a traditionally underrepresented group are employed on the qualified production as a casting director, cinematographer, composer, costume designer, director, editor, hairstylist, makeup artist, producer, production designer, set decorator, visual effects supervisor, writer, sound editor, sound effects editor, sound mixer, Foley artist or other similar personnel.~~

~~(c) Six or more persons who are members of a traditionally underrepresented group are employed on the qualified production in a technical role, including, without limitation, first assistant director, gaffer, script supervisor, digital imaging technician or other similar role.~~

~~(d) Not less than 20 percent of the below the line personnel employed on the qualified production, not including background actors, are members of a traditionally underrepresented group.~~

~~(e) One or more entities affiliated with the production company or distribution company has a program of substantive, ongoing paid apprenticeships or internships that include members of traditionally underrepresented groups in not less than three of the following departments:~~

~~(1) Production and development;~~

~~(2) Physical production;~~

~~(3) Postproduction;~~

~~(4) Music;~~

~~(5) Visual effects;~~

~~(6) Acquisitions;~~

~~(7) Business affairs;~~

~~(8) Distribution; or~~

~~(9) Marketing and publicity.] the diversity goals set forth in subparagraph (2) of paragraph (d) of subsection 3 of section 11 of this act were met.~~

3. The Executive Director of the Office shall waive a reduction in the cumulative amount of film infrastructure transferable tax credits required pursuant to subsection 2 upon written proof to the Executive Director that the production company made a good faith effort to meet the requirements of that paragraph and there is an insufficient number of persons available and qualified to meet the requirements.

4. Except as otherwise provided in subsection 5, the Executive Director of the Office may:

(a) Reduce the cumulative amount of film infrastructure transferable tax credits that are calculated pursuant to this section by an amount equal to any damages incurred by the State or any political subdivision of the State as a result of a qualified production that is produced in this State; or

(b) Withhold film infrastructure transferable tax credits, in whole or in part:

(1) Until any pending legal action in this State against a production company or involving a qualified production is resolved.

(2) If a production company violates any state or local law.

(3) If a production company is found to have knowingly submitted any false statement, representation or certification in any document submitted for the purpose of obtaining film infrastructure transferable tax credits.

5. Before taking any action authorized by subsection 4, the Executive Director of the Office shall:

(a) Consider any documentation submitted by the production company related to the action under consideration;

(b) Make the following determinations in writing:

(1) That good cause exists to take such action;

(2) That the action is reasonable based on the circumstances of the underlying incident on which the reduction or withholding of film infrastructure transferable tax credits authorized pursuant to subsection 4 is based; and

(3) The amount of any reduction or withholding of film infrastructure transferable tax credits authorized pursuant to subsection 4 is commensurate with the severity of the underlying incident on which the reduction or withholding is based; and

(c) Notify the production company, in writing, of the determination made pursuant to paragraph (b).

~~16. As used in this section:~~

~~(a) "Racial or ethnic minority" means persons who are:~~

~~(1) Asian;~~

~~(2) Hispanic or Latino;~~

~~(3) Black or African American;~~

~~(4) Indigenous, Native American or Alaskan Native;~~

~~(5) Middle Eastern or North African;~~

~~(6) Native Hawaiian;~~

~~(7) Pacific Islander; or~~

~~(8) A member of any other underrepresented racial or ethnic minority group.~~

~~(b) "Traditionally underrepresented group" means:~~

~~(1) Women;~~

~~(2) A racial or ethnic minority group;~~

~~(3) A group of persons who identify as LGBTQ, which means lesbian, gay, bisexual, transgender, queer, intersex or any other nonheterosexual or noncisgender orientation or gender identity or expression;~~

~~(4) A group of persons with disabilities, as defined in NRS 426.068;~~

~~(5) Veterans;~~

~~(6) Persons who are currently serving on active duty in the Armed Forces of the United States; or~~

~~(7) Persons who were previously incarcerated in a jail or prison.~~

~~(c) "Veteran" means a person who has served in the Armed Forces of the United States, a reserve component thereof or the National Guard and was separated from such service under conditions other than dishonorable.~~

Section 18 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 18. 1. Except as otherwise provided in this subsection, not later than June 30, 2026, the Clark County Board of County Commissioners shall create a production studio entertainment district for the purpose of enhancing early childhood education opportunities, including public prekindergarten, for children in Clark County. The Clark County Board of County Commissioners shall not create a production studio entertainment district pursuant to this section if the Office and the lead participant in the Summerlin Production Studios Project have not entered into a development agreement pursuant to section 10 of this act within the period required by that section or, if a production studio entertainment district has been created, the Clark County Board of County Commissioners shall dissolve the

district if the Office and the lead participant in the Project have not entered into a development agreement pursuant to section 10 of this act within the period required by that section. The district must:

(a) Be located entirely within the unincorporated areas of Clark County and outside the boundaries of any incorporated city;

(b) Include all parcels of land that are located within the boundaries of the Summerlin Production Studios Project; and

(c) Not include any parcels of land other than the parcels of land described in paragraph (b).

2. To make payments pursuant to ~~subsection~~ subsections 3, 4, and 5, the Clark County Board of County Commissioners shall pledge the proceeds of the following taxes, fees and charges, but excluding any taxes, fees or charges imposed for the purpose of providing services related to public safety or indigent services pursuant to any provision of law and any amount pledged for the repayment of a bond issued before the effective date of this act:

(a) The tax imposed for the purposes of NRS 244A.597 to 244A.655, inclusive, at the rate of 4 percent of the gross receipts from the rental of transient lodging within the production studio entertainment district;

(b) The tax imposed pursuant to NRS 244.3352 at the rate of 2 percent of the gross receipts from the rental of transient lodging within the production studio entertainment district;

~~(b)~~ (c) The taxes imposed pursuant to chapter 361 of NRS on property of any kind within the production studio entertainment district for the general operating expenses of Clark County;

~~(c)~~ (d) The taxes imposed pursuant to chapter 361 of NRS on property of any kind within the production studio entertainment district for the general operating expenses of Summerlin Town; and

~~(d)~~ (e) The basic city-county relief tax, as defined in NRS 377.020, with regard to tangible personal property sold at retail, or stored, used or otherwise consumed, in the production studio entertainment district and, after the deduction made as compensation to the State for the cost of collecting the tax.

3. After the creation of the production studio entertainment district, the Department of Taxation, the Clark County Board of County Commissioners, ~~and~~ the Board of Trustees of the Clark County School District and the Board of the Public Employees' Benefits Program shall enter into an agreement to transfer money secured by a pledge of, and payable from, any money pledged pursuant to subsection 2 and received with respect to the district. The agreement must provide for a transfer to ~~the~~ :

(a) The Public Employees' Benefits Program of money pledged pursuant to paragraph (a) of subsection 2 and received by Clark County, specifying the dates and procedure for the distribution of money pledged pursuant to paragraph (a) of subsection 2, for credit to a separate account administered by the Board of the Public Employees' Benefits Program, which must be used to make health reimbursement arrangement contributions for active state employees and to pay the share of the cost of qualified medical expenses for each person who has retired with state service and whose coverage is provided through the Public Employees' Benefits Program by an individual medical plan offered pursuant to the Health Insurance for the Aged Act, 42 U.S.C. §§ 1395 et seq., starting in Fiscal Year 2031-2032 and each biennium thereafter.

(b) The Clark County School District of money pledged pursuant to paragraphs (b) to (e), inclusive, of subsection 2 and received by the Department of Taxation or Clark County, including, without limitation, specifying the dates and procedure for the distribution of money pledged pursuant to subsection 2. An

agreement entered into pursuant to this section is not subject to the limitations of subsection 1 of NRS 354.626 and may, at the option of the Clark County Board of County Commissioners, be binding on Clark County beyond the fiscal year in which it was made, if the agreement pertains solely to the money pledged pursuant to subsection 2.

4. The Clark County School District shall:

(a) Deposit all money received pursuant to this section in a separate account established and administered by the Board of Trustees of the Clark County School District and use money in such account solely for the purposes of prekindergarten education programs in the Clark County School District, which, at the discretion of the Clark County School District, may include, without limitation, the development and implementation of early childhood education pathways for the Clark County School District in collaboration with the College of Education at the University of Nevada, Las Vegas.

(b) Submit a report on or before July 1 of each year on the use of all money received pursuant to this section to the Office of Economic Development within the Office of the Governor. The Office shall include the report received from the Clark County School District in the report required pursuant to section 20 of this act.

5. The Department of Taxation may adopt regulations regarding procedures for the identification and segmentation with respect to the production studio entertainment district of the taxes, fees and charges described in subsection 2.

6. The Clark County Board of County Commissioners may adopt, by ordinance, procedures for the identification and segmentation with respect to the production studio entertainment district of the taxes, fees and charges described in subsection 2.

7. The Department of Taxation and Clark County, and any other local government or public body to which the taxes, fees and charges described in subsection 2 are paid, shall provide commercially reasonable procedures by which such taxes, fees and charges paid by any business or other person operating in the production studio entertainment district are to be identified and segmented. All such businesses or other persons operating in the production studio entertainment district shall follow the established commercially reasonable procedures.

8. The provisions of this section must not be applied to modify, directly or indirectly, any taxes levied or revenues pledged to impair adversely any outstanding obligations of any local government or the State, including, without limitation, bonds, notes, medium-term financing, letters of credit and any other financial obligation, until all such obligations have been discharged in full or provision for their payment and redemption has been fully made.

Section 19 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 19. 1. The lead participant shall, on or before August 1 of each even-numbered year, prepare and submit to the Governor, the Director of the Legislative Counsel Bureau for transmittal to the Legislature and the Office a report on the performance of the Project for the immediately preceding period consisting of 2 fiscal years and cumulatively for the period beginning on the effective date of this act and ending on the last day of the immediately preceding fiscal year. ~~{The}~~ Except as otherwise provided in subsections 2 and 3, the report must include, without limitation:

(a) The following information concerning the development of the Project:

(1) The cumulative capital investment, by component, including the studio campus, vocational-training studio and supporting uses;

(2) Square footage delivered and acreage improved, by component;

(3) The status of capital investment requirements and requirements for direct production expenditures included in the development agreement pursuant to paragraph (a) of subsection 1 of section 10 of this act and any penalties imposed on the Project pursuant to section 10 of this act;

(4) Any improvements to public infrastructure installed or financed by the Project;

(5) Any capital investment outside of the site of the Project credited toward meeting the capital investment requirements included in the development agreement pursuant to paragraph (a) of subsection 1 of section 10 of this act;

(6) The primary user or tenant of each completed building and space occupied and a brief business description;

(7) The share of total occupied square footage used by firms whose principal business supports motion picture, television, digital media or related content-creation activities;

(8) Total employment related to construction of the Project;

(9) Total employment at the Project that is not related to construction of the Project;

(10) Aggregate wages and salaries paid to employees in industries related to the Project, separately by industry;

(11) An analysis of the employment of Nevada residents in industries related to the Project and plans to increase the percentage of Nevada residents who are employed in industries related to the Project;

(12) Demographic information concerning persons who participate in a program of vocational training and education offered at the Nevada Partners Vocational Training Studio;

(13) Any community investments in workforce training and education; and

(14) Any efforts to develop vendor procurement opportunities for small businesses and businesses owned by women, veterans or other traditionally underrepresented groups.

(b) The following information concerning the production of qualified productions, in whole or in part, at the site of the Project, regardless of whether the production company applies for or is issued film infrastructure transferable tax credits for the qualified production:

(1) The total amount of direct production expenditures, as defined in section 10 of this act;

(2) The aggregate number of persons in Nevada employed by qualified productions, the aggregate amount of wages paid to those persons and aggregated demographic information concerning those persons;

(3) The number of persons employed by each qualified production who were paid compensation of more than \$1,000,000 for labor or services provided for the qualified production and the total number of persons employed by qualified productions were paid more than \$1,000,000 for labor or services provided for the qualified production;

(4) For each qualified production and cumulatively for all qualified productions, the percentage of below-the-line personnel, by occupation and in aggregate, providing labor or services who were Nevada residents, calculated by dividing the number of workdays worked by Nevada residents who are below-the-line personnel, excluding background actors, by the number of workdays worked by all below-the-line personnel, excluding background actors;

(5) For each qualified production and cumulatively for all qualified productions, the percentage of below-the-line personnel, by occupation and in aggregate, providing labor or services who were Nevada residents, calculated by dividing the wages and salaries paid to Nevada residents who are below-the-line personnel, excluding background actors, for labor or services provided in this State by the total wages and salaries paid to all below-the-line personnel, excluding background actors;

(6) For each qualified production and cumulatively for all qualified productions, the percentage of above-the-line personnel, by occupation and in aggregate, providing labor or services who were Nevada residents, calculated by dividing the number of workdays worked by Nevada residents who are above-the-line personnel by the number of workdays worked by all above-the-line personnel;

(7) For each qualified production and cumulatively for all qualified productions, the percentage of above-the-line personnel, by occupation and in aggregate, providing labor or services who were Nevada residents, calculated by dividing the wages and salaries paid to Nevada residents who are above-the-line personnel for labor or services provided in this State by the total wages and salaries paid to all above-the-line personnel;

(8) For each qualified production and cumulatively for all qualified productions, the percentage of total compensation paid to above-the-line personnel, by occupation and in aggregate, and the percentage of total compensation paid to below-the-line personnel, by occupation and in aggregate;

(9) The period during which each qualified production was in Nevada and employed persons in Nevada; and

(10) The number of qualified productions that were produced by persons or entities that are affiliated with the Summerlin Production Studios Project and the number of qualified productions that were produced by persons or entities that are not affiliated with the Project.

2. The Executive Director of the Office shall waive any requirement to report pursuant to subsection 1 that would result in the disclosure of the compensation of an individual, any personally identifiable information or a trade secret, as defined in NRS 600A.030, except that the Executive Director shall require the reporting of such information, as described in subsection 1, in aggregated form to avoid the disclosure of the compensation of an individual, any personally identifiable information or a trade secret, as defined in NRS 600A.030.

3. If any information required to be submitted to the Office pursuant to subparagraph (3) to (8), inclusive, of paragraph (b) of subsection 1 has been submitted to the Office pursuant to an audit conducted pursuant to paragraph (e) of subsection 3 of section 11 of this act, such information may be reported to the Office by reference to the information already provided to eliminate any duplicative reporting.

4. The Office shall include a copy of the report received from the Project in the report required by section 20 of this act.

Section 20 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 20. The Office shall include in the report prepared and submitted pursuant to NRS 360.7598, on or before December 1 of each even-numbered year, to the Governor and to the Director of the Legislative Counsel Bureau for transmittal to the Legislature, a report for the two immediately preceding fiscal

1 years and cumulatively for the period beginning on the effective date of this act and
2 ending on the last day of the immediately preceding fiscal year:

3 1. The information provided to the Office pursuant to section 19 of this act;

4 2. The status of capital investment requirements and requirements for direct
5 production expenditures included in the development agreement pursuant to
6 paragraph (a) of subsection 1 of section 10 of this act and any penalties imposed on
7 the Project pursuant to section 10 of this act;

8 3. The following information related to applications for film infrastructure
9 transferable tax credits and qualified productions:

10 (a) The number of applications submitted for a certificate of eligibility for film
11 infrastructure transferable tax credits pursuant to section 11 of this act;

12 (b) The number of qualified productions for which film infrastructure
13 transferable tax credits were approved;

14 (c) The amount of film infrastructure transferable tax credits approved;

15 (d) The amount of film infrastructure transferable tax credits used;

16 (e) The amount of film infrastructure transferable tax credits transferred; and

17 (f) The amount of film infrastructure transferable tax credits taken against each
18 allowable fee or tax, including the actual amount used and outstanding, in total and
19 for each qualified production;

20 4. Recommendations for strengthening the overall operation of the program
21 for the issuance of film infrastructure transferable tax credits, including, without
22 limitation, methods to promote and encourage the development and establishment
23 of production companies in Nevada, including, without limitation, production
24 companies that are not affiliated with the Summerlin Production Studios Project;

25 5. An overview of the motion picture and television industry in this State,
26 including, without limitation, the total number of qualified productions in this State
27 for which film infrastructure transferable tax credits or noninfrastructure
28 transferable tax credits have not been approved, data concerning employment in the
29 motion picture and television industry in this State and production revenue
30 generated in this State;

31 6. Demographic information concerning persons who participate in a program
32 of vocational training and education offered at the Nevada Partners Vocational
33 Training Studio, or if the Nevada Partners Vocational Training Studio is not
34 completed and operational, the equivalent facility that is completed and operational;

35 7. Demographic information concerning persons who participate in a program
36 of vocational training and education offered at the ~~Eastside Education and Training~~
37 ~~Center at the College of Southern Nevada,~~ center described in subparagraph (6)
38 of paragraph (a) of subsection 1 of section 10 of this act, or if ~~the Eastside~~
39 ~~Education and Training Center,~~ that is not completed and operational, the
40 equivalent facility that is completed and operational pursuant to subparagraph
41 (7) of paragraph (a) of subsection 1 of section 10 of this act;

42 8. The report received from the Clark County School District pursuant to
43 subsection 4 of section 18 of this act;

44 9. The report received from the Summerlin Production Studios Project
45 pursuant to subsection 2 of section 19 of this act; and

46 10. The compilation of information provided in reports made by recipients of
47 grants from the Account for Nevada Film, Media and Related Technology
48 Education and Vocational Training created by section 38 of this act, which is
49 provided to the Office pursuant to section 40 of this act.

Section 26 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 26. NRS 360.759 is hereby amended to read as follows:

360.759 1. A production company that produces a qualified production in this State in whole or in part may apply to the Office of Economic Development for a certificate of eligibility for **noninfrastructure** transferable tax credits for any qualified direct production expenditures. The **noninfrastructure** transferable tax credits may be applied to:

- (a) Any tax imposed by chapters 363A and 363B of NRS;
- (b) The gaming license fees imposed by the provisions of NRS 463.370;
- (c) Any tax imposed pursuant to chapter 680B of NRS; or
- (d) Any combination of the fees and taxes described in paragraphs (a), (b) and (c).

2. ~~{The}~~ **Except as otherwise provided in NRS 360.7594, the** Office ~~{may}~~ **shall** approve an application for a certificate of eligibility for **noninfrastructure** transferable tax credits if the Office finds that the production company producing the qualified production qualifies for the **noninfrastructure** transferable tax credits pursuant to subsection 3. If the Office approves the application, the Office shall ~~{calculate}~~ :

(a) **Calculate** the estimated amount of the **noninfrastructure** transferable tax credits pursuant to NRS 360.7592, 360.7593 and 360.7594 ~~{ }~~ ; and

(b) **Immediately forward a copy of the certificate of eligibility that identifies the estimated amount of the noninfrastructure transferable tax credits to:**

- (1) **The applicant;**
- (2) **The Department of Taxation; and**
- (3) **The Nevada Gaming Control Board.**

3. To be eligible for **noninfrastructure** transferable tax credits pursuant to this section, a production company must:

(a) ~~{Submit}~~ **Before the beginning of principal photography, submit to the Office** an application **for a certificate of eligibility** that meets the requirements of subsection 4;

(b) ~~{Provide proof satisfactory}~~ **Submit** to the Office ~~{that the qualified production is in the economic interest of the State;~~

~~—(c) Provide proof satisfactory to the Office}~~ **with the application for a certificate of eligibility:**

(1) **Proof** that 70 percent or more of the funding for the qualified production has been obtained;

~~{(d) Provide proof satisfactory to the Office}~~ **and**

(2) **Proof** that ~~{at}~~ :

(I) At least ~~{60}~~ **50** percent of the ~~{direct production expenditures for:~~

~~—(1) Preproduction;~~

~~—(2) Production; and~~

~~—(3) If any direct production expenditures for postproduction will be incurred in this State, postproduction,~~

~~→} total principal photography days~~ of the qualified production will ~~{be incurred}~~ **take place** in this State ~~{as qualified direct production expenditures;~~

~~—(e)} ; or~~

(II) **The qualified production will incur qualified direct production expenditures in this State of at least \$5,000,000;**

(c) **Satisfy the applicable requirement for the employment of Nevada residents as below-the-line personnel of the qualified production, as set forth in section 22 of this act;**

(d) Provide to the Office:

(1) With the application for a certificate of eligibility, proof that the applicant has in place a workforce plan for the qualified production that outlines specific goals for:

~~(I) Hiring a workforce that reflects the diversity of this State, including, without limitation, the age, gender, gender identity or expression, as defined in NRS 0.034, sexual orientation, ethnic and geographic diversity of this State;~~

(II) Hiring a workforce that reflects the diversity of this State, with not less than 30 percent of the persons hired for qualified productions being members of a traditionally underrepresented group;

(II) Adopting nondiscriminatory policies and practices to ensure that the qualified production does not discriminate in employment, contracting or any other term or condition of participation in the qualified production, against any protected class of individuals pursuant to state or federal law;

(III) Using vendors that are minority-owned business enterprises or woman-owned business enterprises; and

~~(III)~~ (IV) Achieving the requirements set forth in subsection 3 of 360.7592; and

(2) Not later than 365 days after the completion of principal photography of the qualified production, unless the Office agrees to extend this period by not more than 180 days, a final assessment of the workforce plan that includes documentation on whether the production met or made good faith efforts to achieve the goals set forth in the workforce plan;

(e) Not later than ~~180~~ 365 days after the completion of principal photography of the qualified production or, if any direct production expenditures for postproduction will be incurred in this State, not later than ~~365~~ 365 days after the completion of postproduction, unless the Office agrees to extend this period by not more than ~~180~~ 180 days, provide the Office with an audit of the qualified production that includes ~~and~~ :

(1) An itemized report of qualified direct production expenditures which:

~~(1)~~ (I) Shows that the qualified production incurred qualified direct production expenditures of \$500,000 or more; ~~and~~

~~(2)~~ (II) If the production company complied with the requirement of subparagraph (2) of paragraph (b) by providing to the Office with the application for a certificate of eligibility proof that the qualified production would incur qualified direct production expenditures in this State of at least \$5,000,000, shows that the qualified production incurred qualified direct production expenditures in this State of at least \$5,000,000; and

(III) Is certified by an independent certified public accountant in this State who is approved by the Office;

(2) A list of each contractor, vendor, personal service corporation or loan-out company or other business engaged by the production company to provide goods or perform services in an aggregate amount of at least \$10,000 or more in this State in connection with the qualified production and the amount paid to each contractor, vendor, personal service corporation or loan-out company or other business for such goods or services; and

(3) Proof that the production company secured all licenses and registrations required to do business in each location in this State at which the qualified production was produced;

(f) Pay the cost of the audit required by paragraph (e);

(g) Enter into a written agreement with the Office that requires the production company to include:

(1) In the end screen credits of the qualified production, a logo of this State provided by the Office which indicates that the qualified production was filmed or otherwise produced in Nevada; or

(2) If the qualified production does not have end screen credits, another acknowledgment in the final version of the qualified production which indicates that the qualified production was filmed or otherwise produced in Nevada ~~and~~ *or any alternative marketing promotion acceptable to the Office; and*

(h) ~~Meet any other requirements prescribed by regulation pursuant to this section.~~ *Enter into a written agreement with the Office that requires the production company to transmit to each contractor, vendor, personal service corporation or loan-out company or other business engaged by the production company to provide goods or perform services in an aggregate amount of at least \$10,000 or more in this State in connection with a qualified production, not later than 30 calendar days after the production company pays the contractor, vendor, personal service corporation or loan-out company or other business, a notification that includes:*

(1) *A statement that Nevada imposes:*

(I) *A tax on wages paid by certain employers pursuant to chapters 363A and 363B of NRS; and*

(II) *A commerce tax on certain business entities pursuant to chapter 363C of NRS; and*

(2) *Instructions for obtaining additional information from the Department of Taxation regarding the collection and remittance of taxes pursuant to chapters 363A, 363B and 363C of NRS.*

4. An application *for a certificate of eligibility* submitted pursuant to subsection 3 must contain:

(a) A script, storyboard or synopsis of the qualified production;

(b) The names of the production company, producer, director and proposed cast;

(c) An estimated timeline to complete the qualified production;

(d) ~~IA summary of the budgeted expenditures for the entire production, including projected expenditures to be incurred outside of Nevada;~~ *An estimate of the percentage of principal photography days of the qualified production that will take place in this State and outside this State;*

(e) Details regarding the financing of the project, including, without limitation, any information relating to a binding financing commitment, loan application, commitment letter or investment letter;

(f) An insurance certificate, binder or quote for general liability insurance of \$1,000,000 or more;

(g) The business address of the production company;

(h) Proof that the qualified production meets any applicable requirements relating to workers' compensation insurance; *and*

(i) ~~Proof that the production company has secured all licenses and registrations required to do business in each location in this State at which the qualified production will be produced; and~~

~~Any other information required by regulations adopted by the Office pursuant to subsection 8.~~ *The workforce plan of the production company that is required by paragraph (d) of subsection 3.*

5. ~~If the Office approves an application for a certificate of eligibility for transferable tax credits pursuant to this section, the Office shall immediately forward a copy of the certificate of eligibility which identifies the estimated amount of the tax credits available pursuant to NRS 360.7592 to:~~

~~(a) The applicant;~~

~~—(b) The Department; and~~
~~—(c) The Nevada Gaming Control Board.~~
~~—6.~~ Within ~~160~~ 45 business days after receipt of *a final assessment of the workforce plan provided by a production company pursuant to subparagraph (2) of paragraph (d) of subsection 3*, an audit provided by a production company pursuant to paragraph (e) of subsection 3 and any other accountings or other information required by the Office, the Office shall determine whether to certify the audit and make a final determination of whether a certificate of *noninfrastructure* transferable tax credits will be issued. If the Office certifies the audit, determines that all other requirements for the *noninfrastructure* transferable tax credits have been met and determines that a certificate of *noninfrastructure* transferable tax credits will be issued, the Office shall notify the production company that the *noninfrastructure* transferable tax credits will be issued.

6. Within ~~130~~ 90 days after the receipt of the notice, the production company shall make an irrevocable declaration of the amount of *noninfrastructure* transferable tax credits that will be applied to each fee or tax set forth in subsection 1, thereby accounting for all of the credits which will be issued ~~in relation to the qualified production~~. Upon receipt of the declaration, the Office shall ~~issue~~ :

(a) Determine an amount of money equal to 1 percentage point of the percentage of qualified direct production expenditures used to calculate the amount of film infrastructure transferable tax credits that will be issued to the production company and cause that amount of money to be transferred for credit to the Account for Nevada Film, Media and Related Technology Education and Vocational Training created by section 38 of this act; and

(b) Issue to the production company a certificate of *noninfrastructure* transferable tax credits in the amount approved by the Office for the fees or taxes included in the declaration of the production company ~~plus~~ minus the amount of money transferred pursuant to paragraph (a). The production company shall notify the Office upon transferring any of the *noninfrastructure* transferable tax credits. The Office shall notify the Department and the Nevada Gaming Control Board of all *noninfrastructure* transferable tax credits issued, segregated by each fee or tax set forth in subsection 1, and the amount of any *noninfrastructure* transferable tax credits transferred.

~~7. For a production company that submitted an application for a certificate of eligibility for noninfrastructure transferable tax credits on or after July 1, 2020, and before June 30, 2044, 60 days after the production company uses any noninfrastructure transferable tax credits issued pursuant to subsection 6 or notifies the Office of any transfer of noninfrastructure transferable tax credits issued pursuant to subsection 6, the production company shall pay to the Office an amount of money equal to 1 percentage point of the percentage of qualified direct production expenditures used to calculate the amount of noninfrastructure transferable tax credits issued to the production company pursuant to subsection 6. The Office shall deposit any money received pursuant to this subsection with the State Treasurer for credit to the Account for Nevada Film, Media and Related Technology Education and Vocational Training created by section 38 of this act. A payment made pursuant to this subsection shall be deemed to be a payment made from noninfrastructure transferable tax credits which would have been authorized and approved for the production company if a payment pursuant to this section were not required.~~

~~8.~~ An applicant for *noninfrastructure* transferable tax credits pursuant to this section shall, upon the request of the Executive Director of the Office, furnish the Executive Director with copies of all records necessary to verify that the applicant meets the requirements of subsection 3.

8. ~~9.~~ The Office:

(a) Shall adopt regulations prescribing:

(1) ~~Any additional requirements to receive transferable tax credits;~~

~~(2)~~ Any additional qualified expenditures or production costs that may serve as the basis for **noninfrastructure** transferable tax credits pursuant to NRS 360.7591;

~~(3) Any additional information that must be included with an application pursuant to subsection 4;~~

~~(4)~~ (2) The application review process;

~~(5) Any type of qualified~~

(3) That a production for which ~~due to obscene or sexually explicit material~~ records are required by 18 U.S.C. § 2257 to be maintained with respect to any performer in such production is not eligible for **noninfrastructure** transferable tax credits; and

~~(6) The requirements for notice pursuant to NRS 360.7595;~~

(4) Any necessary provisions to ensure compliance with the requirements of paragraph (d) of subsection 3 relating to workforce plans; and

(b) May adopt any other regulations that are necessary to ~~carry out~~ ensure that the provisions of NRS 360.758 to 360.7598, inclusive ~~are carried out in a manner that is reasonable and customary within the industry for the production of qualified productions.~~

9. ~~10.~~ The Nevada Tax Commission and the Nevada Gaming Commission:

(a) Shall adopt regulations prescribing the manner in which **noninfrastructure** transferable tax credits will be administered.

(b) May adopt any other regulations that are necessary to carry out the **functions performed by each entity pursuant to the** provisions of NRS 360.758 to 360.7598, inclusive.

10. As used in this section:

(a) "Traditionally underrepresented group" means:

(1) Women;

(2) A racial or ethnic minority group;

(3) A group of persons who identify as LGBTQ, which means lesbian, gay, bisexual, transgender, queer, intersex or any other nonheterosexual or noncisgender orientation or gender identity or expression;

(4) A group of persons with disabilities, as defined in 6 NRS 426.068;

(5) Veterans;

(6) Persons who are currently serving on active duty in the Armed Forces of the United States; or

(7) Persons who were previously incarcerated in a jail or prison.

(b) "Veteran" means a person who has served in the Armed Forces of the United States, a reserve component thereof or the National Guard and was separated from such service under conditions other than dishonorable.

Section 28 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 28. NRS 360.7592 is hereby amended to read as follows:

360.7592 1. Except as otherwise provided in ~~subsection 4~~ **subsections 3 and 5** and NRS 360.7593 and 360.7594, the base amount of **noninfrastructure** transferable tax credits issued to an eligible production company pursuant to NRS 360.759 :

1 (a) For an eligible production company that submitted the application for the
2 certificate of eligibility for the noninfrastructure transferable tax credits before
3 July 1, 2029, or on or after July 1, 2044, must equal 15 percent of the qualified
4 direct production expenditures.

5 (b) For an eligible production company that submitted the application for the
6 certificate of eligibility for the noninfrastructure transferable tax credits on or
7 after July 1, 2029, and before July 1, 2044, must equal 30 percent of the qualified
8 direct production expenditures.

9 2. Except as otherwise provided in subsections ~~{3}~~ 4 and ~~{4}~~ 5 and NRS
10 360.7594, if an eligible production company submitted the application for the
11 certificate of eligibility for noninfrastructure transferable tax credits pursuant to
12 NRS 360.759 before July 1, ~~{2028,}~~ 2029, or on or after July 1, ~~{2043,}~~ 2044, in
13 addition to the base amount calculated pursuant to paragraph (a) of subsection 1,
14 the noninfrastructure transferable tax credits issued to ~~{an}~~ the eligible production
15 company ~~{pursuant to NRS 360.759}~~ must include credits in an amount equal to ~~{~~
16 ~~— (a) An additional 5 percent of the qualified direct production expenditures if~~
17 ~~more than 50 percent of the below the line personnel of the qualified production are~~
18 ~~Nevada residents; and~~
19 ~~— (b) An~~ an additional 5 percent of the qualified direct production expenditures
20 if more than 50 percent of the filming days of the qualified production occurred in a
21 State in which, in each of the 2 years immediately preceding the date
22 of application, qualified productions incurred less than \$10,000,000 of qualified
23 direct production expenditures.

24 3. ~~{For the purposes of paragraph (a) of subsection 2:~~
25 ~~— (a) Except as otherwise provided in paragraph (b) of this subsection, the~~
26 ~~percentage of the below the line personnel who are Nevada residents must be~~
27 ~~determined by dividing the number of workdays worked by Nevada residents by the~~
28 ~~number of workdays worked by all below the line personnel.~~
29 ~~— (b) Any work performed by an extra must not be considered in determining the~~
30 ~~percentage of the below the line personnel who are Nevada residents.~~

31 ~~4. The~~ Except as otherwise provided in subsections 4 and 5 and NRS
32 360.7594, if an eligible production company submitted the application for the
33 certificate of eligibility for noninfrastructure transferable tax credits pursuant to
34 NRS 360.759 on or after ~~{July 1, 2032,}~~ the date on which the Office adopts the
35 regulations required by section 11 of this act and before July 1, 2044, the Office
36 shall ~~{reduce the cumulative amount of}~~ not issue any noninfrastructure
37 transferable tax credits {calculated pursuant to paragraph (b) of subsection 1 by 5
38 percent} to the production company for the qualified production if the final
39 assessment of the workforce plan submitted by the production company for the
40 qualified production pursuant to paragraph (d) of subsection 3 of NRS 360.759
41 does not include documentation that {at least two of the following requirements
42 were met:

43 ~~— (a) The production company, distribution company or financing company~~
44 ~~for the qualified production offered training or work opportunities to members of~~
45 ~~traditionally underrepresented groups for the development of skills required for~~
46 ~~employment as below the line personnel or above the line personnel.~~
47 ~~— (b) Two or more persons who are members of a traditionally~~
48 ~~underrepresented group are employed on the qualified production as a casting~~
49 ~~director, cinematographer, composer, costume designer, director, editor,~~
50 ~~hairstylist, makeup artist, producer, production designer, set decorator, visual~~
51 ~~effects supervisor, writer, sound editor, sound effects editor, sound mixer, Foley~~
52 ~~artist or other similar personnel.~~

~~— (c) Six or more persons who are members of a traditionally underrepresented group are employed on the qualified production in a technical role, including, without limitation, first assistant director, gaffer, script supervisor, digital imaging technician or other similar role;~~

~~— (d) Not less than 20 percent of the below the line personnel employed on the qualified production, not including background actors, are members of a traditionally underrepresented group;~~

~~— (e) One or more entities affiliated with the production company or distribution company has a program of substantive, ongoing paid apprenticeships or internships that includes members of traditionally underrepresented groups in not less than three of the following departments:~~

~~— (1) Production and development;~~

~~— (2) Physical production;~~

~~— (3) Postproduction;~~

~~— (4) Music;~~

~~— (5) Visual effects;~~

~~— (6) Acquisitions;~~

~~— (7) Business affairs;~~

~~— (8) Distribution; or~~

~~— (9) Marketing and publicity;~~ the diversity goals set forth in subparagraph (2) of paragraph (d) of subsection 3 of NRS 360.759 were met.

4. The Executive Director of the Office shall waive a reduction in the cumulative amount of noninfrastructure transferable tax credits required pursuant to subsection 3 upon written proof to the Executive Director that the production company made a good faith effort to meet the requirements of that subsection and there is an insufficient number of persons available and qualified to meet the requirements.

5. Except as otherwise provided in subsection 6, the Executive Director of the Office may:

(a) Reduce the cumulative amount of **noninfrastructure** transferable tax credits that are calculated pursuant to this section by an amount equal to any damages incurred by the State or any political subdivision of the State as a result of a qualified production that is produced in this State; or

(b) Withhold the **noninfrastructure** transferable tax credits, in whole or in part:

(1) Until any pending legal action in this State against a production company or involving a qualified production is resolved.

(2) If a production company violates any state or local law.

(3) If a production company is found to have **knowingly** submitted any false statement, representation or certification in any document submitted for the purpose of obtaining **noninfrastructure** transferable tax credits.

6. Before taking any action authorized by subsection 5, the Executive Director of the Office shall:

(a) Consider any documentation submitted by the production company related to the action under consideration; and

(b) Make the following determinations:

(1) That good cause exists to take such action;

(2) That the action is reasonable based on the circumstances of the underlying incident on which the reduction or withholding of noninfrastructure transferable tax credits authorized pursuant to subsection 5 is based; and

(3) The amount of any reduction or withholding of noninfrastructure transferable tax credits authorized pursuant to subsection 5 is commensurate

with severity of the underlying incident on which the reduction or withholding is based.

~~f7. As used in this section:~~

~~(a) "Racial or ethnic minority" means persons who are:~~

~~(1) Asian;~~

~~(2) Hispanic or Latino;~~

~~(3) Black or African American;~~

~~(4) Indigenous, Native American or Alaskan Native;~~

~~(5) Middle Eastern or North African;~~

~~(6) Native Hawaiian;~~

~~(7) Pacific Islander; or~~

~~(8) A member of any other underrepresented racial or ethnic minority group.~~

~~(b) "Traditionally underrepresented group" means:~~

~~(1) Women;~~

~~(2) A racial or ethnic minority group;~~

~~(3) A group of persons who identify as LGBTQ, which means lesbian, gay, bisexual, transgender, queer, intersex or any other nonheterosexual or noncisgender orientation or gender identity or expression;~~

~~(4) A group of persons with disabilities, as defined in NRS 426.068;~~

~~(5) Veterans;~~

~~(6) Persons who are currently serving on active duty in the Armed Forces of the United States; or~~

~~(7) Persons who were previously incarcerated in a jail or prison.~~

~~(c) "Veteran" means a person who has served in the Armed Forces of the United States, a reserve component thereof or the National Guard and was separated from such service under conditions other than dishonorable.~~

Section 29 of Assembly Bill No. 5 is hereby amended as follows:

Sec. 29. NRS 360.7593 is hereby amended to read as follows:

360.7593 1. ~~For an eligible production company that submitted the application for the certificate of eligibility for the noninfrastructure transferable tax credits before July 1, 2028,~~ 2029, or on or after July 1, 2042, 2044, in calculating the base amount of noninfrastructure transferable tax credits pursuant to subsection 1 of NRS 360.7592:

(a) Wages and salaries, including fringe benefits, paid to above-the-line personnel who are not Nevada residents must be included in the calculation at a rate of 12 percent.

(b) Wages and salaries, including fringe benefits, paid to below-the-line personnel who are not Nevada residents ~~to~~

~~(1) For the period beginning January 1, 2014, and ending December 31, 2014, must be included in the calculation at a rate of 12 percent.~~

~~(2) For the period beginning January 1, 2015, and ending December 31, 2015, must be included in the calculation at a rate of 10 percent.~~

~~(3) For the period beginning January 1, 2016, and ending December 31, 2016, must be included in the calculation at a rate of 8 percent.~~

~~(4) For the period beginning January 1, 2017,~~ must not be included in the calculation.

2. As used in this section, "fringe benefits" means employee expenses paid by an employer for the use of a person's services, including, without limitation,

1 payments made to a governmental entity, union dues, health insurance premiums,
2 payments to a pension plan and payments for workers' compensation insurance.

Section 30 of Assembly Bill No. 5 is hereby amended as follows:

3 **Sec. 30.** NRS 360.7594 is hereby amended to read as follows:

4 360.7594 1. Except as otherwise provided in this subsection, the Office ~~of~~
5 ~~Economic Development~~ shall not approve any application for *a certificate of*
6 *eligibility for noninfrastructure* transferable tax credits submitted pursuant to NRS
7 360.759 if approval of the application would cause the total amount of
8 *noninfrastructure* transferable tax credits approved pursuant to NRS 360.759 for
9 each ~~fiscal~~ :

10 (a) *Fiscal year commencing before July 1, 2029, or on or after July 1, 2044,*
11 *to exceed the sum of \$10,000,000. ~~Any~~ Except as otherwise provided in this*
12 *paragraph, any* portion of the \$10,000,000 per fiscal year for which
13 *noninfrastructure* transferable tax credits have not previously been approved *by*
14 *the Office under an application for a certificate of eligibility for*
15 *noninfrastructure transferable tax credits submitted pursuant to NRS 360.759*
16 *may be carried forward and made available for approval during the next or any*
17 *future fiscal year. Noninfrastructure transferable tax credits that are available for*
18 *approval for a fiscal year commencing before July 1, 2029, but have not been*
19 *approved for a fiscal year commencing before July 1, 2029, must not be carried*
20 *forward and made available for approval during any fiscal year commencing on*
21 *or after July 1, 2029.*

22 (b) *Fiscal year commencing on or after July 1, 2029, and before July 1,*
23 *2044, to exceed the sum of \$25,000,000. An amount not to exceed 50 percent of*
24 *the \$25,000,000 per fiscal year for which noninfrastructure transferable tax*
25 *credits have not previously been approved by the Office under an application for*
26 *a certificate of eligibility for noninfrastructure transferable tax credits submitted*
27 *pursuant to NRS 360.759 may be carried forward and made available for*
28 *approval during the next or any future fiscal year.*

29 2. ~~The~~ Except as otherwise provided in this section, if the Office approves
30 an application for a certificate of eligibility pursuant to NRS 360.759, the Office
31 shall assign the amount of noninfrastructure transferable tax credits identified
32 under the certificate of eligibility to the fiscal year in which the application for
33 the certificate of eligibility is approved.

34 3. Except as otherwise provided in subsection 1, an amount of
35 noninfrastructure transferable tax credits approved by the Office under a
36 certificate of eligibility issued to a production company pursuant to NRS 360.759
37 that exceeds the amount of noninfrastructure transferable tax credits approved by
38 the Office under a certificate of noninfrastructure transferable tax credits issued
39 to the production company pursuant to NRS 360.759 may be added to the amount
40 made available for approval during subsequent fiscal years.

41 4. For an eligible production company that submitted the application for
42 the certificate of eligibility for the noninfrastructure transferable tax credits
43 before July 1, ~~2028,~~ 2029, or on or after July 1, ~~2043,~~ 2044, the
44 noninfrastructure transferable tax credits issued to any production company for
45 any qualified production pursuant to NRS 360.759:

46 (a) Must not exceed a total amount of \$6,000,000; and

(b) Expire ~~14~~ *at the end of the calendar year that is 6* years after the date on which the *noninfrastructure* transferable tax credits are issued to the production company.

~~3.1~~ 5. For ~~the purposes of calculating qualified direct production expenditures:~~

~~—(a) The compensation payable to all producers who are Nevada residents must not exceed 10 percent of the portion of the total budget of the qualified production that was expended in or attributable to any expenses incurred in this State.~~

~~—(b) The compensation payable to all producers who are not Nevada residents must not exceed 5 percent of the portion of the total budget of the qualified production that was expended in or attributable to any expenses incurred in this State.~~

~~—(c) The compensation payable to any employee, independent contractor or any other person paid a wage or salary as compensation for providing labor services on the production of the qualified production must not exceed \$750,000.~~ *an eligible production company that submitted the application for the certificate of eligibility for the noninfrastructure transferable tax credits on or after July 1, ~~2020~~, 2029, and before July 1, ~~2043~~, 2044, the noninfrastructure transferable tax credits issued to the production company for a qualified production pursuant to NRS 360.759:*

(a) Must not exceed a total of \$7,000,000; and

(b) Expire at the end of the calendar year that is 6 years after the date on which the noninfrastructure transferable tax credits are issued to the production company.